Semi-Annual Reporting

Approved CF cases all fall into 1 reporting Category:

1. Semi-annual reporting (SAR) – all changes are required to be reported only once per year between certifications with very few changes required to be reported mid-period.

Once initial eligibility has been established, Semi-annual Reporting rules govern what needs to be reported and when.

In implementing Semi-annual Reporting rules, the State created, mandatory form, SAR 7, which is used by the counties to collect all of the information that recipients are required to provide between Recertifications. The form is broken into sections to collect information on changes to:

- Household Composition
- Address
- Expenses/deductions
- Property/resources
- Income

Recipients are required to report ALL changes in this information on the SAR 7. The form also allows for reporting changes that are anticipated going forward or to request discontinuance of aid.

SAR Reporting

Semi-annual reporting rules require that changes in HH Composition and address; income and expenses; and property are only reported Semi-annually, either on a SAR 7 or at Recertification (RE). Each case will be assigned a SAR Cycle. In what month the RE and SAR 7 are due will be based on the SAR Cycle. There are 6 SAR Cycles and which SAR Cycle a case is assigned will be determined by the Begin Date of Aid (BDA). In most instances, BDA will be the same as application date. In some circumstances, a CF case may not be eligible in the month of application. These circumstances would include:

- Current income exceeds limits, but on-going income will not
- Some or all HH members aided on another case, or in another state

In these instances, the BDA would be the first of the month following the application date, and the SAR Cycle would be based on that date. For example:

> Joe applies for CF on 07/25/25. Joe has been laid off from his job. He was earning $2000/month and he received a full month's income in July. He will begin receiving Unemployment Insurance Benefits (UIB) in 08/24. His monthly UIB will be $1000/month. Joe is over income for CF in application month but will be income eligible in 08/25. His BDA will be 08/01/25 and his SAR Cycle will be based on this date.

If Joe had been earning $1000/month all along, then his application date and BDA would have been the same (07/25/25) and his SAR Cycle would be based on that date.

If a case will not be eligible within 30 days of application, the application will be denied, and the participants may have to reapply (depending on the denial reason).

There are 6 SAR Cycles, numbered 1-6, and every year there are 2 BDA months that link to a given SAR Cycle. They are as follows.

BDA Month	SAR Cycle
January or July	Cycle 1
February or August	Cycle 2
March or September	Cycle 3
April or October	Cycle 4
May or November	Cycle 5
June or December	Cycle 6

Each case then has 2 six-month SAR Payment Periods during each Certification Period.

The first SAR Payment Period starts with the BDA month and the second one starts the month after the SAR 7 is due and submitted. Each SAR Cycle has 3 features. **(Period Begin, Data Month, Submit Month)**

When a case is approved, the first four months are called the SAR Payment months

Month 5 is the Data Month. When a SAR 7 is submitted and the client is required to report, they are reporting the information as it exists in the Data Month. If there is income in the HH, then the income received in the Data Month must be reported and verified on the SAR 7. Any changes in Property, HH Composition and/or expenses must also be reported as they are in Month 5, the Data Month.

Months 1-4 or Application Month/Payment Period	CalSAWS uses beginning date of aid month to establish first SAR Payment Month.
Month 5 or SAR Data Month	Month participant reports all actual income for the month & any other changes
Month 6 or Submit Month	Month SAR 7 is turned in.
Months 7-11 Payment Period	2ND Payment Period after SAR 7 is completed and New data Entered
Month 12 or RE-Evaluation Month (RE)	Month RRR is due. No SAR 7 is due. Requires a household/assistance unit (AU) to provide information on income received during the 30 days prior to submission of the household's annual recertification for CalFresh or AU's annual Re-Evaluation for CalWORKs.
SAR Payment Period	6-month period where benefits are paid.

Month 6 is the Submit Month. The SAR 7 is due by the fifth of the Submit month and is considered late after the 11th. The SAR 7 must be received by the 11th to be considered 'timely.'

SAR Cycle	Period Begins	Data Month	Submit Month
Cycle 1	July/January	May/November	June/December
Cycle 2	August/February	June/December	July/January
Cycle 3	September/March	July/January	August/February
Cycle 4	October/April	August/February	September/March
Cycle 5	November/May	September/March	October/April
Cycle 6	December/June	October/April	November/May

Any information reported on the SAR 7 that was not known to be true in the Data Month will be treated as a voluntary mid-period report and handled as described below. In terms of Income, if new or increased income is reported on the SAR 7, in order for it to be used as part of the SAR 7, the following must have been 'known' in the Data Month:

- When the income would be received (1st pay date)
- How much would be received (amount of the check or hours to be worked and $/hour)

It is not necessary to request verification of future wages. The participant's statement is sufficient unless questionable. If verification is requested, the ERS must document what was questionable about the statement.

For a SAR 7 to be considered 'complete' it must:

- Be signed and dated by the participant(s)
- All program relevant questions answered
- Verification of all Earned Income received in the Data Month must be included. This is income RECEIVED as opposed to pay periods. Often there will be a pay period in the Data Month that is not paid until the Submit month. Copies of pay stubs or other verification from the employer must be submitted.
- Verification of any other change that requires verification must be included.
    - Adding a person to a HH will require a SOF (CW 8 or CW 8A or CalSAWS SOF) as well as any applicable documentation for the new member
    - Changes in Property do not need verification if property is not counted
    - Changes in Expenses or deductions need to be verified if questionable in order to allow the deduction. If a change is not verified, the expense is disallowed, but do not discontinue the case

- Staff must explore missing or unclear information with the HH/AU. Staff must connect with participant by phone or e-form and inform the participant that the SAR 7 is incomplete. Staff can complete the missing questions on the report if telephone contact is made and the HH/AU requests it. If unable to contact participant, staff will send incomplete SAR 7 notice per previous process.
- We will See the SAR 7 Processing P&P for more details

Mandatory Reporting

For CF, there are only 2 changes that a participant must report mid-period:

- Income that exceeds the Income Reporting Threshold IRT (130% FPL). If at any time during the year a participant's income (from all sources) exceeds their IRT they must report and verify the new income within 10 days.
  - Each case is informed of their IRT amount using a SAR 2 form at approval, RE, when the SAR 7 is processed, whenever the IRT changes and whenever the participant requests. The form is generated by CalSAWS automatically in each circumstance except participant request.
- Reduction in Work Hours to less than 80 hours/month (This only applies to ABAWD cases. The State has had an ABAWD waiver. ABAWD is returning next year, and further training will be forthcoming)

These changes must be reported within 10 days of occurring to be 'timely.' Income that exceeds IRT will, by definition, be an *increase* in income and as such will cause benefits to decrease. The new income must be applied in the future month. 10-day (NCO) rules apply so if the report is not 'timely' then an over-issuance (O/I) will occur.

Voluntary Reporting

Participants can and will report all sorts of changes throughout the year. The rule of thumb is, if a change will result in a negative action, and is NOT a mandatory report of income in excess of the IRT then we will NOT act on the change. If a participant voluntarily reports a change that will result in a negative action, up to and including discontinuance, we will defer action on the change until the first month of the future SAR Payment Period or RE whatever comes first. Participants will need to report the change again on the SAR 7 and provide verification at that time. For example:

> Bill Smith called on 07/25/25 and reported that he got a new job. The SAR Cycle on Bill's case is 6. He is only working part-time, and the pay is low so his income will not exceed the IRT. As it is new income, it will cause the benefits to decrease. Since Bill's case is on Cycle 6 the next Data Month for his case is October and his SAR 7 (or RE) is due in November. Bill will be required to

report the income (or its subsequent discontinuance) at that time, and it will be used in determining eligibility for December.

If a participant voluntarily reports a change that will result in a positive action, then we will act on that change immediately. Some changes that might have a positive impact on benefits are increased expenses, decreased income or the addition of a new person to the HH. If the verification is received within 10 days, then the change can be applied immediately **(Supplement may be issued)**. If the verification is **not** received within 10 days, then the receipt of the verification constitutes a **new** report of the same change, and the increased benefits can be issued as of that date. For example:

> **On 07/27/25 Bill Smith called and reported** that he lost his job and **received his last paycheck** on 07/10/25. This is the only income that he received in 07/2025, and it is **$500 less** than the income that we have already used to determine his eligibility for 07/2025. Bill has 10 days from 07/27/25 to provide verification so it must be received by 08/06/2025.
>
> If he provides the Verification of Job Ending form (DSS GEN 282) or any other verification from the former employer on 8/03/2025 we can update the income in CalSAWS and recalculate his benefits for 07/2025 and 08/2025 and issue supplements for each month.
>
> On the other hand, if he submitted the verification on 08/10, we would consider **this** to be the report date of the change and we would NOT supplement 07/2025 as the report was not received in 07/2025. (A supplement may be issued for August)

We will never issue supplements for past months based on a client's report of change in circumstances. We will only issue supplements for past months if the information was available to the county and we failed to act on it in a timely manner. This is true both of changes the participant reports and information that is available to us in our systems (IEVS and MEDS especially).

If multiple changes are reported mid-period, it is necessary to review and act on each change **independently**. If one change will cause benefits to increase and another to decrease, we will **only** act on the change that will cause the benefits to increase and leave the other change to wait for the SAR 7 or RE. This is true even if the net change of both benefits, if applied together, would still result in an increase in benefits. For example:

> On 07/27/2025 Bill Smith dropped in and reported that he lost his job on 07/10/2025 and he is no longer earning $2000/month. He received his last check on 07/10/2025 for $1000. He provided his last paycheck and a statement from is employer. He applied for UIB and thinks will receive his first check on 08/03/2025. He will have a WBA of $250. He did not bring his UIB award letter in and we have no verification. His case is Cycle 6. As the loss of the job and its associated income will result in an increase in benefits, we can apply the reduced income ($2000 = > $1000) to July and issue a supplement and remove the income entirely for August and on-going.

In 08/2025 it would be tempting to say that the earnings are decreasing by $2000, and the Unearned income is only increasing by $1083.50 (250x2=$500x2.167=$1,083.50) and so I can use both and the benefits will still increase. This is not acceptable. Each change must be evaluated for its own impact on the net benefits. 08/2025 benefits using the reduced earnings are greater than they would be using both the reduced earnings and the increased unearned income.

If a change is reported that will not be used until the future SAR Period a 'No Change' NOA must be sent. The NOA informs the participant that the change will not be used for now, and to report again and provide verification with the next SAR 7 or RE.

If a participant makes a voluntary mid-period report that would have a negative impact the ERS should not request verification. If a participant reports new or increased income, ask how much they will be making to see if the income would exceed IRT. If so, then the participant must provide verification. If not, then remind them that they do not need to provide verifications until SAR 7 or RE is due.

When applying any of the changes above, whether on a SAR 7/RE or as a voluntary mid-period report the following timing rules apply:

- Changes to income and deduction can be applied in current month or future month, so long as verification received if not questionable, depending on when the change did or will occur. If a participant reports that their income has decreased and verifies, current month can be re-evaluated, and a supplement issued if the amount of income received in current month is/will be less than what was used to determine eligibility initially.
- Changes to HH Composition – a new individual can be added to a case on the first of the month following the month that they were reported in the home, so long as all verifications are received within 10 days.

HH COMP CHANGES

Adding a person mid period is a voluntary report. ERS must send a request for verification, CF 377.6, asking for the required verification due within 10 days. If verification is not received within 10 days, ERS/ERS IV sends a NO Change NOA to the HH as a reminder to report & provide needed verification regarding new HH member on next SAR 7 or at RE.

- When adding a person, BDA (beginning date of aid) is the 1st of the month following the month in which the change was reported & verification received. This is the same for both CW and CF.
- If adding a person results in financial ineligibility, over IRT, ERS must send a Request for Contact CF 32 to the HH requesting all required verifications for the new member, his/her income, & document it was sent.

- If the Request for Contact (RFC) is not returned or returned incomplete, discontinue the HH for failing to respond to the RFC & issue a CF 377.4 SAR.
- If the HH provides the necessary information & confirms the new member is a mandatory HH member, & the HH's income exceeds the IRT, discontinue the case for being over IRT.

Verified Upon Receipt (VUR)

Reports of changes mid-period must be acted upon if the report is considered Verified Upon Receipt (VUR). VUR only applies to information that meets the definition of VUR when it is received by the county.

VUR is information reported to the county that meets **ALL** criteria below:

- Obtained from the primary source
  - A primary source is a first-hand direct source that has complete and accurate information regarding the circumstances in question.
- Complete
  - The information has all the components necessary to take action.
- Not questionable
  - There are no contradictory or discrepant elements to the information that would cast doubt on its timeliness, completeness, or accuracy.
- Requires no further verification
  - Action can be taken without further verification.

Information considered VUR may become known to the county office through a voluntary report, electronic source, or any other means.

It is important to remember that information cannot become VUR.

SEE EXAMPLE HIGHLIGHTED BELOW

When the CWD receives information about a household's circumstances that is considered VUR, the information requires mid-period action with no further verification, regardless of the impact on benefits. "Verified upon receipt" is a term given to a state-prescribed list of specific information that comes directly from the source of information and is free from question. It is important to remember that information cannot become VUR just because additional verification has been provided to the CWD. **(For example, if the household reports an income increase (under IRT) over the telephone and then sends the county their paystubs, the information does not become VUR. In this case, the CWD would send a No-Change NOA to the household and follow-up at the household's next SAR 7 or recertification, whichever comes first.**

INFORMATION CONSIDERED VUR:

- A voluntary report made by the household of a household composition change.
- A voluntary report made by the household of a change of address.
- A PVS report.
- SSI/SSP benefit information obtained from the SSA
    - Benefit information obtained from SSA is considered reported and verified on the day the information is first known to the county through IEVS, SDX or BENDEX. The SDX and BENDEX data is available in MEDS via the INQX screen.
- UIB and SDI benefit information that are reported through IEVS and obtained from the California EDD.
    - UIB information is considered reported and verified on the date of the IEVS notification.
- Worker's compensation benefits obtained from the California Worker's Compensation agency.
- A California Intentional Program Violation (IPV) report.
    - The IPV needs to be established in order to disqualify the individual.
- Public Assistance (PA) benefit amount information, not limited to CalWORKs, obtained directly from the county office.
    - PA means CalWORKs, Tribal TANF, SSI/SSP, and General Assistance.

    - PA benefit amount information is considered reported and verified on the date the PA benefit amount is authorized.
- Information Known to the Agency (see below).
    - Such information is considered reported and verified on the date the PA program processes the change.
- Information regarding non-citizen status obtained from SAVE.
- Information regarding In-Home Supportive Services provider wages obtained from the Case Management Information and Payrolling System.
- Information regarding the removal of a child from a CalFresh household obtained from Child Protective Services and/or the county Foster Care system.
- Information that a household member received substantial lottery or gambling winnings obtained from a gaming entity data match.

VUR Does Not Include

- Wage stubs or employment offer letters submitted by the HH (because they are not from the primary source)
- Information received from the Work Number (for more information see Work Number P&P)
- HH Composition changes reported by a third party
- IEVS information such as:
    - Quarterly wage match data
    - New hire reports
    - Wage data from SSA
    - Nationwide Prisoner Match

Taking Action on Mid-Period Changes

The ERS must take action mid-period, **regardless of an increase or decrease in benefits**, when the following information is received:

- A mandatory report made by the household (See Required Mid-Period Reporting section above)
- A voluntary report made by the household that results in increased benefits.
- HH requests discontinuance. If HH requests verbal discontinuance:
  - Letter must be sent to confirm verbal voluntary discontinuance & adequate (but not timely) NOA reflecting discontinuance of benefits.

    NOTE: If participant signs a request for discontinuance, 10-day notice by NCO not required. Discontinue benefits at end of month with adequate notice only.
- A voluntary report made by the household of a change in residence.
- The three-month limit for an ABAWD subject to the time limit ends or an ABAWD who has regained eligibility, is not exempt, and does not reside in an area with an ABAWD waiver, stops meeting the work requirement.
- Failure of a member of the household to comply with a Quality Control Review.
- The ERS has verified that the participant is receiving SNAP benefits in another state.
- A household member has been identified as a fleeing felon or probation or parole violator.
- Verified Nationwide Prisoner Match (NPM) or Deceased Persons Match (DPM).
  - Both NPM and DPM require third-party verification prior to taking action. For more information, see the IEVS NPM P&P.
  - Death can be verified from a third party such as county offices of vital statistics, coroners' offices, and/or obituaries.
- Information that is considered VUR.
- Information Known to the Agency (see section below)
- Cost of Living Allowance (COLA) changes for CF, CW, GA & SSA

NOTE: If a change causes a negative action, timely notice must be given.

LATE REPORTING WITH GOOD CAUSE

ERS must establish whether an OI exists if unable to decrease benefits due to 10-day notice requirement.

Under SAR, CF follows CW rules for processing a late report, including establishing an OI, if SAR 7 is received late & there is not enough time to decrease benefits due to 10-day (NCO) requirement.

- If participant provides completed SAR 7 after 11th day of SAR Submit month, but on or before NCO (NOA Cut off), ERS processes SAR 7 & no OP/OI exists.
- If participant provides completed SAR 7 after NCO (NOA Cut off), but by first working day of the next month, ERS reinstates benefits at prior level.
- If participant provides completed SAR 7 after first working day of the month after the report was due, or later with good cause:
  - Rescind discontinuance for all applicable programs.
  - Mark SAR 7 received in Periodic Reports.
  - Make all needed changes in Data Collection. If changes result in negative action, use future month. If new source of income was reported, enter "N" in the Change Reported on Time field, otherwise enter "Y".
  - Run EDBC, re-evaluating month SAR 7 was due & current month.
    - If benefits increase, issue supplement.
    - If benefits decrease, ERS will:
      - Decrease benefits in second month of period based on information reported on late SAR 7.
      - Report OP/OI to ART due to late reporting.

NOTE ON GOOD CAUSE

- If SAR 7 is received after filing deadline (first working day of month after it was due), case may only be rescinded if good cause exists. If good cause is determined, ERS rescinds discontinuance & determines CW & CF eligibility based on information provided on SAR 7. Follow same steps as above. Good cause reason must be documented in CalSAWS Journal.
- Once a full calendar month has passed since discontinuance date, good cause may **NOT** be claimed. Participant must reapply for benefits.
- Good cause must be determined by ERS for CW & CF. Reasons include:
  - Participant has mental/physical condition that prevented submitting report timely
  - Report was late due to county error (e.g., report not sent, report sent to wrong address, report lost after participant submitted it)
  - Participant had extenuating circumstances

CF RESTORATIONS

A SAR 7 received after the extended filing date up to 30 days after the SAR discontinued may be restored and receive prorated benefits without having to complete a new application or interview and the RE will maintain the original certification period. The HH also has the option to submit a new application and complete the application process and receive a new certification period. Restored households are considered continuing cases and retain their original certification period and are not entitled to Expedited Service.

HOUSEHOLD'S RESPONSIBILITY FOR SAR RESTORATION

Within the month following discontinuance, HH must provide documentation/verification and/or satisfy any condition of eligibility that prompted the discontinuance. In addition, HH must meet all other conditions of eligibility.

DEPARTMENT'S RESPONSIBILITY IN THE SAR RESTORATION PROCESS

Each time participant provides information, ERS must evaluate and either approve or deny a restoration. Depending on the circumstances, a restoration may be denied multiple times, and then finally approved.

RESTORATION NOAS

The CF 389 is used to deny a restoration. The CF 388 is used to approve a restoration. SAWS will automatically generate the correct NOA. Adequate notice is required. Ten-day notice is not required.

EFFECTIVE DATE OF RESTORED BENEFITS FOR SAR

Reinstate eligibility and pro-rate benefits from the date the household resolves the discontinuance.

If the discontinuance is resolved (and/or processed) late in the month after the discontinuance, the ERS may need to use a manual override in SAWS in order to issue the newly determined benefit amount.

Since the case was in a discontinued status, any amount issued is considered a positive action. Restorations will not (and should not) generate an over issuance.

If information provided to resolve the discontinuance causes the HH to be ineligible to CF benefits, the original discontinuance will remain effective. There is NOT a requirement to restore the household and then establish an over-issuance. Notification of the denial of restoration must be sent.

CF INFORMATION KNOWN TO THE AGENCY:

The agency is defined as the entity (or entities) responsible for administering the following public assistance programs: CalWORKs, CalFresh, Medi-Cal, Tribal TANF, SSI/SSP, and General Assistance.

For CF purposes, "Information Known to the Agency" pertains only to reported and verified information which caused a change in eligibility or benefits for CW, MC, Tribal TANF, SSI/SSP, or GA.

- Any information reported to and verified by an assistance program that results in a change in eligibility or grant amount, must be acted on mid-period for CF, regardless of an increase or decrease in benefits.
    - **Example of CF Action Required**: A household reports an address change to CalWORKs. In this case, because the reported change caused an action for CalWORKs and impacts CalFresh, staff must act for CalFresh and follow all mid-period address change rules.
- If the information reported to an assistance program does **NOT** change the program's eligibility or grant amount, then staff must not act on this change for CF if it results in a decrease in CF benefits.
    - **Example of NO CF Action Required**: If a Welfare-To-Work CalWORKs recipient provides income information for Welfare-To-Work purposes but the income information does not cause a change in their CalWORKs benefit amount, and CalWORKs eligibility and benefits stay the same, then staff must not act for CalFresh.
- If the information reported to an assistance program does **NOT** change the program's eligibility or grant amount, but would result in an increase in CF benefits, this would be considered a voluntary mid-period report for CF, and staff would act accordingly. As the information provided did not trigger a change for the other assistance program, it is not considered "Information Known to the Agency," and therefore is not VUR.